A firm that invents a new biscuit puts 10 per cent of its effort into the biscuit and 90 per cent of its effort into figuring out the distribution. Incumbents always have deep pockets, are entrenched in the distribution, and try to choke off competitors there. Every practitioner living in this world treats these anti-competitive barriers as an everyday reality. The Internet is a unique open market; the moment a new shopfront comes up, it is instantly connected to all customers who are on the Internet. This implies superior competitive conditions when compared with the old economy. A new e-commerce firm puts 100 per cent of its effort into innovation, as it knows that all pipes are of equal access. Net neutrality regulation is about keeping it this way. [2]

These examples are related to the common law concept of a ‘common carrier’, which is a firm that transports (say) goods in a non-discriminatory manner. The state coerces common carriers to force them to treat all customers equally.

The need for caution in system thinking

System thinking is very attractive to engineers. Every engineer feels she can redesign society in certain ways that are good for everyone. But system thinking is fraught with danger.

It is important to underline the use of state power, of the monopoly of violence that the state possesses, when policymakers do system thinking. When a government imposes a ‘Keep left’ rule, this is done by putting policemen in the street who impose punishments upon persons who drive on the right-hand side.

System design in public policy is unlike engineering design done in a private firm. A private firm that designs a product tries to put it on the market, and if there is a lack of voluntary buyers, the firm loses money, realizes this was not a good design, and goes back into debating the next design. In contrast, when system design is done in public policy, the citizenry has no choice, the solution is forced upon them backed by threats